

Employee Attrition Analysis – Executive Summary

Employee retention is a critical concern for every organization because high employee turnover can lead to increased hiring costs, loss of experienced talent, and reduced productivity. The purpose of this analysis was to understand the major reasons why employees leave the organization and identify areas where the company can take proactive action to improve employee retention.

The analysis showed that approximately 16% of employees in the organization left the company. Although the overall retention level is good, the findings indicate that certain groups of employees are more likely to leave than others. Employees working in Laboratory Technician and Sales Representative roles showed a noticeably higher tendency to resign compared to employees in other positions. This suggests that these roles may require additional attention from the HR team.

Work-related factors were also found to have a strong influence on employee retention. Employees who frequently travel for business and those who regularly work overtime were more likely to leave the organization. Excessive workload and frequent travel may negatively affect employee satisfaction and work-life balance over time.

Career growth emerged as another important factor. Employees who had not received promotions for a long period were more likely to resign. Similarly, employees in junior positions and those who had spent fewer years with the company showed a higher risk of leaving. These findings highlight the importance of providing employees with clear career progression opportunities and regular developmental discussions.

Interestingly, compensation alone did not appear to be the main reason employees left the organization. While salary remains important, factors such as career advancement, workload, and work-life balance had a greater impact on employee decisions. This indicates that improving the overall employee experience can be just as important as financial incentives.

Based on these findings, it is recommended that HR prioritize retention initiatives for employees in Sales and Laboratory Technician roles, particularly those who frequently travel or work extended hours. The organization should strengthen career development programs, ensure transparent promotion processes, encourage regular manager-employee discussions, and introduce initiatives that support a healthier work-life balance.

By taking proactive measures in these areas, the organization can improve employee satisfaction, reduce unwanted turnover, and retain valuable talent for the long term.